

Macroeconomics Important Terms & Their Other Names

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In Macroeconomics, many terms are used with different names but same meaning in national income accounting. Knowing these synonyms helps a lot in board exams.

Here's a clean list for Class 12 CBSE Macroeconomics.

1. Depreciation

Consumption of Fixed Capital (CFC)

Capital Consumption Allowance

Meaning: Loss of value of fixed assets due to wear and tear.

2. Gross Domestic Product (GDP)

GDP at Market Price (GDPmp)

Domestic Income

Meaning: Value of final goods and services produced within domestic territory.

3. Net Domestic Product (NDP)

NDP at Market Price (NDPmp)

Domestic Income after depreciation

Formula:

$$\text{NDP} = \text{GDP} - \text{Depreciation}$$

4. Gross National Product (GNP)

GNP at Market Price (GNP_{mp})

National Income before depreciation

Formula:

$$\text{GNP} = \text{GDP} + \text{Net Factor Income from Abroad (NFIA)}$$

5. Net National Product (NNP)

NNP at Factor Cost (NNP_{fc})

National Income

Meaning: This is the real National Income used in economics.

6. Net Factor Income from Abroad

NFIA

Net Factor Income from Rest of the World

Formula:

$$\text{Income earned by residents abroad} - \text{Income earned by foreigners in domestic country}$$

7. Private Income

Income received by private sector

Formula concept:

$$\text{National Income} + \text{Transfer payments} + \text{Interest on national debt} - \text{Undistributed profits} - \text{Corporate tax}$$

8. Personal Income

Income received by households

Includes: Transfer payments, Pension, Scholarships.

9. Personal Disposable Income (PDI)

Disposable Income

Take-home income

Formula:

$$\text{PDI} = \text{Personal Income} - \text{Personal Taxes}$$

10. Market Price (MP)

Meaning: Price including indirect taxes and subsidies.

11. Factor Cost (FC)

Meaning: Income received by factors of production.

Relation:

$$\text{FC} = \text{MP} - \text{Indirect Taxes} + \text{Subsidies}$$

12. Indirect Taxes

Examples: GST, Sales tax, Excise duty.

13. Subsidies

Meaning: Financial help given by government to producers.

Example: Fertilizer subsidy.

14. Intermediate Goods

Producer Goods

Meaning: Used for further production.

15. Final Goods

Consumption Goods

Meaning: Used for final consumption.

Exam Tip for CBSE Boards:

The most important synonym questions usually come from:

- **Depreciation** = Consumption of Fixed Capital
- NNP_{FC} = National Income
- GDP_{MP} = Domestic Income
- **PDI** = Disposable Income